

IGCSE Edexcel Business Studies

Key Terms Revision Quiz

Units 1 – 5 | Complete Key Terms Edition

● Define every key term ● Check your answers ● Exam-ready revision

How to use this quiz:

1. Cover the Answer Key at the back.
2. Work through each unit, writing your definition for every term in the space provided.
3. Tick the box once you are confident you know a term.
4. Check your answers against the Answer Key.
5. Highlight any terms you got wrong and revisit them.

■ Needs

■ Wants

■ Scarcity

■ Opportunity cost

■ Factors of production

■ Land

■ Labour

■ Capital

■ Enterprise

■ Entrepreneur

■ Business

■ Goods

■ Services

■ Consumer goods

■ Capital goods

■ Primary sector

■ Secondary sector

■ Tertiary sector

■ Quaternary sector

■ Added value

■ Chain of production

■ Specialisation

■ Division of labour

■ Interdependence

■ Globalisation

■ Economic system

■ Free market economy

■ Command/planned
economy

■ Mixed economy

■ Sole trader

■ Partnership

■ Private limited company
(Ltd)

■ Public limited company
(PLC)

■ Shareholder

■ Share

■ Dividend

■ Limited liability

■ Unlimited liability

■ Incorporated

■ Unincorporated

■ Memorandum of
Association

■ Articles of Association

■ Franchise

■ Franchisor

■ Franchisee

■ Joint venture

☐ Cooperative

☐ Social enterprise

☐ Charity

☐ Public sector

☐ Private sector

☐ Nationalisation

☐ Privatisation

☐ Multinational company
(MNC)

☐ Merger

☐ Takeover (acquisition)

☐ Horizontal integration

☐ Vertical integration

☐ Conglomerate integration

■ **Business objective**

■ **Mission statement**

■ **Profit**

■ **Revenue (turnover)**

■ **Market share**

■ **Growth**

■ **Survival**

■ **Corporate social
responsibility (CSR)**

■ **Ethics**

■ **Stakeholder**

■ **Internal stakeholders**

■ **External stakeholders**

■ **Shareholders (as
stakeholders)**

■ **Employees (as
stakeholders)**

■ **Customers (as
stakeholders)**

■ **Suppliers (as stakeholders)**

■ **Government (as
stakeholder)**

☐ Community (as stakeholder)

☐ Stakeholder conflict

☐ Trade union

☐ Pressure group

■ **Production**

■ **Productivity**

■ **Efficiency**

■ **Job production**

■ **Batch production**

■ **Flow (mass) production**

■ **Cell production**

■ **Lean production**

■ **Just-in-time (JIT)**

■ **Kaizen**

■ **Quality control**

■ **Quality assurance**

■ **Total quality management (TQM)**

■ **Economies of scale**

■ **Diseconomies of scale**

■ **Fixed costs**

■ **Variable costs**

■ **Total costs**

■ **Average (unit) cost**

■ **Break-even point**

■ **Margin of safety**

■ **Stock (inventory)**

■ **Supply chain**

■ **Outsourcing**

■ **Technology in production**

■ **Automation**

■ **Research and development
(R&D;)**

■ **Intellectual property (IP)**

■ **Patent**

■ **Copyright**

■ Finance

■ Internal finance

■ External finance

■ Retained profit

■ Bank loan

■ Overdraft

■ Mortgage

■ Trade credit

■ Leasing

■ Venture capital

■ Crowdfunding

■ Microfinance

■ Share capital

■ Debenture

■ Cash flow

■ Cash inflow

■ Cash outflow

■ Net cash flow

■ Opening balance

■ Closing balance

■ Cash flow forecast

■ Working capital

■ Liquidity

■ Income statement (profit & loss account)

■ Gross profit

■ Net profit

■ Gross profit margin

■ Net profit margin

■ Balance sheet

■ Assets

■ Fixed (non-current) assets

■ Current assets

■ Liabilities

■ Current liabilities

■ Long-term liabilities

☐ **Equity (owner's
funds/capital employed)**

☐ **Return on capital employed
(ROCE)**

☐ **Depreciation**

☐ **Budget**

☐ **Variance**

☐ **Favourable variance**

☐ **Adverse variance**

ANSWER KEY

All definitions for Units 1 – 5

Unit 1: Business Activity

Q1. Needs:	Things that are essential for survival, e.g. food, water, shelter.
Q2. Wants:	Things that people desire but are not essential for survival.
Q3. Scarcity:	The basic economic problem: unlimited wants but limited resources.
Q4. Opportunity cost:	The next best alternative given up when making a choice.
Q5. Factors of production:	The resources used to produce goods and services: land, labour, capital and enterprise.
Q6. Land:	All natural resources used in production, e.g. oil, forests, water.
Q7. Labour:	The human effort (physical and mental) used in production.
Q8. Capital:	Man-made resources used in production, e.g. machinery, tools, buildings.
Q9. Enterprise:	The willingness to take risks and organise the other factors of production.
Q10. Entrepreneur:	A person who takes the risk of setting up and running a business.
Q11. Business:	An organisation that uses resources to produce goods or services to satisfy customer needs and wants.
Q12. Goods:	Physical, tangible products, e.g. cars, phones, food.
Q13. Services:	Intangible products that satisfy wants, e.g. haircuts, banking, teaching.
Q14. Consumer goods:	Products bought and used by individuals for personal use.
Q15. Capital goods:	Products bought by businesses to help produce other goods or services.
Q16. Primary sector:	Businesses that extract or use natural resources, e.g. farming, mining.
Q17. Secondary sector:	Businesses that manufacture or construct products, e.g. car factories.
Q18. Tertiary sector:	Businesses that provide services, e.g. retail, banking, transport.
Q19. Quaternary sector:	Businesses involved in information and knowledge-based activities, e.g. IT, research.
Q20. Added value:	The difference between the selling price of a product and the cost of materials used to make it.
Q21. Chain of production:	The stages a product passes through from raw material to the final consumer.
Q22. Specialisation:	When individuals, businesses or countries focus on producing particular goods or services.
Q23. Division of labour:	Breaking production into separate tasks carried out by different workers.
Q24. Interdependence:	When people, businesses or economies rely on each other.
Q25. Globalisation:	The process by which the world's economies become more closely linked.
Q26. Economic system:	The way in which a country organises the production and distribution of goods and services.

Q27. Free market economy:	An economic system where resources are allocated by market forces of supply and demand.
Q28. Command/planned economy:	An economic system where the government makes all decisions about production and distribution.
Q29. Mixed economy:	An economic system where both the government and private sector make economic decisions.

Unit 2: Business Structure

Q1. Sole trader:	A business owned and run by one person who is personally responsible for all debts.
Q2. Partnership:	A business owned by two or more people who share responsibility, profits and losses.
Q3. Private limited company (Ltd):	A company owned by shareholders whose liability is limited; shares cannot be sold to the public.
Q4. Public limited company (PLC):	A company whose shares are traded on a stock exchange and can be bought by the public.
Q5. Shareholder:	A person who owns shares (part-ownership) in a limited company.
Q6. Share:	A unit of ownership in a company that entitles the holder to dividends and voting rights.
Q7. Dividend:	A share of a company's profits paid to shareholders.
Q8. Limited liability:	Where the financial responsibility of owners is limited to the amount they invested.
Q9. Unlimited liability:	Where the owner is personally responsible for all business debts.
Q10. Incorporated:	A business that has a separate legal identity from its owners.
Q11. Unincorporated:	A business that does not have a separate legal identity from its owners.
Q12. Memorandum of Association:	A legal document outlining the company's name, address and purpose.
Q13. Articles of Association:	A legal document setting out the internal rules of a company.
Q14. Franchise:	A business arrangement where a franchisee pays to use another company's (franchisor's) brand and business model.
Q15. Franchisor:	The business that grants the right to use its brand, products and processes.
Q16. Franchisee:	A person or business that buys the right to operate under the franchisor's name.
Q17. Joint venture:	A business arrangement where two or more companies work together on a specific project.
Q18. Cooperative:	A business owned and run by its members, who share the profits and benefits.
Q19. Social enterprise:	A business that prioritises social or environmental goals alongside (or instead of) profit.
Q20. Charity:	A non-profit organisation set up to benefit a specific cause or group.
Q21. Public sector:	Organisations owned and controlled by the government, funded by taxes.
Q22. Private sector:	Businesses owned by individuals or groups, aiming to make a profit.
Q23. Nationalisation:	When the government takes ownership of a private sector business.

Q24. Privatisation:	When the government sells a public sector business to the private sector.
Q25. Multinational company (MNC):	A business that operates in more than one country.
Q26. Merger:	When two businesses join together to form a new, single business.
Q27. Takeover (acquisition):	When one business buys a controlling share in another business.
Q28. Horizontal integration:	Joining with a business at the same stage of production in the same industry.
Q29. Vertical integration:	Joining with a business at a different stage of production in the same industry.
Q30. Conglomerate integration:	Joining with a business in a completely different industry.

Unit 3: Business Objectives & Stakeholders

Q1. Business objective:	A target or goal that a business aims to achieve.
Q2. Mission statement:	A short statement that describes the purpose and values of a business.
Q3. Profit:	The financial gain left after all costs have been deducted from revenue (Profit = Revenue - Costs).
Q4. Revenue (turnover):	The total income received by a business from selling goods or services.
Q5. Market share:	The proportion of total market sales held by one business, usually expressed as a percentage.
Q6. Growth:	An increase in the size of the business, measured by sales, output, employees, or assets.
Q7. Survival:	Staying in business, especially important for new or struggling businesses.
Q8. Corporate social responsibility (CSR):	When a business considers the social and environmental impact of its activities, beyond legal requirements.
Q9. Ethics:	Moral principles that guide a business's decisions and behaviour.
Q10. Stakeholder:	Any individual or group with an interest in or affected by a business's activities.
Q11. Internal stakeholders:	Groups within the business, e.g. owners, managers, employees.
Q12. External stakeholders:	Groups outside the business, e.g. customers, suppliers, government, community.
Q13. Shareholders (as stakeholders):	Owners of shares who want a return on investment (dividends and share price growth).
Q14. Employees (as stakeholders):	Workers who want job security, good pay and safe working conditions.
Q15. Customers (as stakeholders):	Buyers who want good quality products at fair prices.
Q16. Suppliers (as stakeholders):	Businesses providing goods/services who want prompt payment and regular orders.
Q17. Government (as stakeholder):	Wants businesses to pay taxes, obey laws, and create employment.

Q18. Community (as stakeholder):	Local people affected by the business's activities; want jobs and minimal environmental harm.
Q19. Stakeholder conflict:	When different stakeholder groups have opposing interests or objectives.
Q20. Trade union:	An organisation that represents workers and aims to protect their rights and interests.
Q21. Pressure group:	An organisation that tries to influence business or government policy on specific issues.

Unit 4: Business Operations

Q1. Production:	The process of making goods or providing services.
Q2. Productivity:	Output per worker per time period; a measure of efficiency.
Q3. Efficiency:	Producing the maximum output from given inputs with minimum waste.
Q4. Job production:	Making one-off, unique products to specific customer requirements.
Q5. Batch production:	Making a set (batch) of identical products before switching to another product.
Q6. Flow (mass) production:	Continuous production of large quantities of identical products on an assembly line.
Q7. Cell production:	A form of lean production where workers in teams (cells) complete a whole unit of work.
Q8. Lean production:	An approach to production that aims to minimise waste and maximise efficiency.
Q9. Just-in-time (JIT):	A stock management system where materials are ordered and received only when needed for production.
Q10. Kaizen:	Japanese term meaning 'continuous improvement'; a lean production technique.
Q11. Quality control:	Checking finished products against a standard to identify faults after production.
Q12. Quality assurance:	A system where quality is checked at every stage of production to prevent faults occurring.
Q13. Total quality management (TQM):	A culture of quality throughout the whole organisation involving all employees.
Q14. Economies of scale:	Cost advantages that a business gains due to an increase in the scale of production.
Q15. Diseconomies of scale:	When increasing the scale of production causes average costs to rise.
Q16. Fixed costs:	Costs that do not change with the level of output, e.g. rent, salaries.
Q17. Variable costs:	Costs that change directly with the level of output, e.g. raw materials.
Q18. Total costs:	Fixed costs plus variable costs.
Q19. Average (unit) cost:	Total costs divided by the number of units produced.
Q20. Break-even point:	The level of output at which total revenue equals total costs; no profit or loss is made.
Q21. Margin of safety:	The difference between actual output and the break-even output.
Q22. Stock (inventory):	Raw materials, work-in-progress, and finished goods held by a business.
Q23. Supply chain:	The network of suppliers, manufacturers and distributors involved in producing and delivering a product.
Q24. Outsourcing:	Contracting out a business function or process to a third-party company.

Q25. Technology in production:	Using machinery, automation, robotics and IT to improve production processes.
Q26. Automation:	Using machines or computers to carry out tasks previously done by people.
Q27. Research and development (R&D;):	Activities to develop new or improved products and production processes.
Q28. Intellectual property (IP):	Legal rights protecting creative works, inventions and brand names.
Q29. Patent:	A legal right that protects an inventor's product or process from being copied for a set period.
Q30. Copyright:	Legal protection for original creative works such as books, music and software.

Unit 5: Financial Information & Decisions

Q1. Finance:	Money needed to start up, run or expand a business.
Q2. Internal finance:	Money raised from within the business, e.g. retained profit, selling assets.
Q3. External finance:	Money raised from outside the business, e.g. bank loans, share issues.
Q4. Retained profit:	Profit kept within the business after paying dividends; reinvested for growth.
Q5. Bank loan:	A fixed sum borrowed from a bank, repaid with interest over an agreed period.
Q6. Overdraft:	When a business spends more than it has in its bank account; a short-term borrowing facility.
Q7. Mortgage:	A long-term loan secured against property.
Q8. Trade credit:	An agreement allowing a business to buy goods now and pay later, typically within 30–90 days.
Q9. Leasing:	Renting an asset rather than buying it outright.
Q10. Venture capital:	Finance provided to small or growing businesses with high risk/reward potential, in exchange for equity.
Q11. Crowdfunding:	Raising small amounts of money from a large number of people, usually via the internet.
Q12. Microfinance:	Small loans provided to entrepreneurs who lack access to traditional bank finance.
Q13. Share capital:	Money raised by selling shares in a limited company.
Q14. Debenture:	A long-term loan with a fixed interest rate, issued by a company.
Q15. Cash flow:	The movement of money into (inflow) and out of (outflow) a business over time.
Q16. Cash inflow:	Money coming into a business, e.g. from sales or loans received.
Q17. Cash outflow:	Money leaving a business, e.g. payments for wages, rent and materials.
Q18. Net cash flow:	Cash inflows minus cash outflows for a given period.
Q19. Opening balance:	The amount of cash at the start of a trading period.
Q20. Closing balance:	The amount of cash at the end of a trading period (opening balance + net cash flow).
Q21. Cash flow forecast:	A prediction of future cash inflows and outflows over a set period.
Q22. Working capital:	The funds available for day-to-day operations; current assets minus current liabilities.
Q23. Liquidity:	A business's ability to meet its short-term financial obligations.

Q24. Income statement (profit & loss account):	A financial statement showing a business's revenues, costs and profit over a period.
Q25. Gross profit:	Revenue minus cost of goods sold (COGS).
Q26. Net profit:	Gross profit minus all other operating expenses.
Q27. Gross profit margin:	Gross profit as a percentage of revenue: $(\text{Gross profit} / \text{Revenue}) \times 100$.
Q28. Net profit margin:	Net profit as a percentage of revenue: $(\text{Net profit} / \text{Revenue}) \times 100$.
Q29. Balance sheet:	A financial statement showing a business's assets, liabilities and equity at a specific point in time.
Q30. Assets:	Items of value owned by a business.
Q31. Fixed (non-current) assets:	Assets owned for long-term use, e.g. buildings, machinery.
Q32. Current assets:	Assets likely to be converted to cash within one year, e.g. stock, debtors, cash.
Q33. Liabilities:	Debts owed by a business.
Q34. Current liabilities:	Debts due to be repaid within one year, e.g. overdraft, creditors.
Q35. Long-term liabilities:	Debts due to be repaid after more than one year, e.g. bank loan, mortgage.
Q36. Equity (owner's funds/capital employed):	The owner's stake in the business; assets minus liabilities.
Q37. Return on capital employed (ROCE):	$\text{Net profit} / \text{Capital employed} \times 100$; measures how efficiently capital generates profit.
Q38. Depreciation:	The reduction in value of a fixed asset over time due to wear and tear.
Q39. Budget:	A financial plan that sets out expected income and expenditure over a future period.
Q40. Variance:	The difference between budgeted and actual figures; can be favourable or adverse.
Q41. Favourable variance:	When actual results are better than budgeted (more revenue or less cost than planned).
Q42. Adverse variance:	When actual results are worse than budgeted (less revenue or more cost than planned).